PROBLEM 3

Sitting Sales Representatives

Actual Sales Call District				
Rep's Base	1	2	3	4
1	1	4	5	7
2	4	1	3	5
3	5	3	1	2
4	7	5	2	1

Hours Available	160
Fixed cost	88000
Variable Cost	80000

Monthly Call Requirements					
	District 1	District 2	District 3	District 4	Total
Calls Required	50	80	100	60	290

Number of Rep assigned to each district					
	District 1	District 2	District 3	District 4	Total
Number of Rep	0	0	5	0	5
District Open	0	0	1	0	
Upper Bound	0	0	290	0	

Base	District 1	District 2	District 3	District 4	Hours used	Hours Available
District 1 Rep	0	0	0	0	0	0
District 2 Rep	0	0	0	0	0	0
District 3 Rep	50	80	100	60	710	800
District 4 Rep	0	0	0	0	0	0
Total calls taken	50	80	100	60		
Calls Required	50	80	100	60		

Calculation of Annual Cost

	District 1	District 2	District 3	District 4	Total
Fixed Cost	0	0	88000	0	88000
Variable Cost	0	0	400000	0	400000

TOTAL COST	**488000**